Manufacturing Is Going the Agriculture Way Globally

The share of manufacturing in GDP of sixteen advanced countries in 1950 was 31 per cent. Developing countries were industrially backward at that time and the share of manufacturing in the GDP of the twenty-nine largest developing countries was only 11 per cent. According to data from the UN, the share of manufacturing in global GDP was still high at 25 per cent in 1970 but had started plateauing. From then on, there has been a constant decline, with the share of manufacturing in global GDP falling to about 16 per cent in 2017.

The world has seen the shifting of manufacturing from advanced countries to developing countries in the past thirty years, which is reflected in the declining share of manufacturing in the GDP of advanced economies. As per UN data, in case of the US, share of manufacturing in GDP has declined from about 23 per cent in 1970 to about 11 per cent in 2017. According to World Bank data for high-income countries, the share of manufacturing in GVA has declined from 17.5 per cent in 1997 to 14 per cent in 2018. In case of low-income countries, the trend demonstrates a different path but the long-term direction is unmistakable. The share of manufacturing in their GDP was 16 per cent in 1998. This peaked at 27 per cent in 2007 and has since then steadily declined to come down to 20 per cent in 2019.

There is now global overcapacity in most manufacturing industries. The demand for most manufactured goods has peaked. There is a clear decline in per-capita consumption of many industrial goods for various reasons, including limited capacity to consume and the environmental overload. Efficiency in production and lower consumption of raw materials (more product per unit of input) have also led to decline in growth of demand for many manufactured products and their raw materials.

Industry is viewed as a major employment provider in the world, especially in developing countries. However, global employment in